

CIVIL PROCEDURE - SPECIFIC PERSONAL JURISDICTION

World-Wide Volkswagen v. Woodson - Burger King v. Rudzewicz - Asahi Metal Industry v. Superior Court

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PART I - PROCEDURE-CENTERED CASE BRIEFS

1. World-Wide Volkswagen Corp. v. Woodson

444 U.S. 286 (1980). U.S. Supreme Court. White, J. No. 78-1078; argued October 3, 1979; decided January 21, 1980. Certiorari to World-Wide Volkswagen Corp. v. Woodson, 1978 OK 131, 585 P.2d 351 (Okla. 1978).

Parties

Petitioners: World-Wide Volkswagen Corporation, the regional wholesale distributor for Volkswagen and Audi vehicles in New York, New Jersey, and Connecticut, and Seaway Volkswagen, Inc., the New York retail dealer that sold the Robinsons' Audi. They were defendants in the products-liability action, applicants for prohibition in Oklahoma, and petitioners in the U.S. Supreme Court. **Respondents:** Charles S. Woodson, the Creek County district judge whose exercise of personal jurisdiction the petitioners sought to prohibit; Kay Eloise Robinson, who drove the Audi and sued for her injuries; Harry Robinson, her husband, who sued individually and as next friend for their children; and the injured children. **Underlying defendants outside the Supreme Court appeal:** Audi NSU Auto Union Aktiengesellschaft manufactured the car, and Volkswagen of America, Inc. imported it. Both remained parties in Oklahoma.

Procedural History

Underlying tort action: The Robinson family filed a manufacturers' products-liability action in the District Court for Creek County, Oklahoma. They alleged that defective design and placement of the Audi's gasoline tank and fuel system caused the post-collision fire and their burn injuries. They sued the German manufacturer, the American importer, the regional distributor, and the retail dealer in the same action.

Special appearances and preservation: World-Wide and Seaway entered special appearances to contest Oklahoma's power to exercise in-personam jurisdiction over them. Their papers also used the phrase 'venue of the subject matter,' and they took depositions touching the merits. The Robinsons later argued that those steps waived the personal-jurisdiction objection. The trial court classified the appearances as special, and the Oklahoma Supreme Court decided the jurisdictional issues. The U.S. Supreme Court therefore treated the objection as preserved. Volkswagen of America also entered a special appearance in the trial court. It stopped its challenge at that level and consequently remained outside the U.S. Supreme Court proceeding.

Trial-court ruling: World-Wide and Seaway submitted evidence defining the geographic limits of their businesses. The Creek County court rejected their due-process objection. It later denied reconsideration. Those unreported rulings left the tort action pending and required the two companies to defend on the merits if immediate review remained unavailable.

Original writ proceeding in Oklahoma: The companies commenced a separate original proceeding in the Supreme Court of Oklahoma. They asked that court to assume original jurisdiction and issue a writ of prohibition directing Judge Woodson to stop exercising personal jurisdiction over them. A writ of prohibition supplies immediate supervisory review when a lower court is asserted to be acting beyond its adjudicatory power; the requested remedy addressed the jurisdictional ruling before a products-liability trial occurred.

On October 10, 1978, the Oklahoma Supreme Court assumed original jurisdiction but denied the writ. 1978 OK 131, 585 P.2d 351. It applied Oklahoma's Uniform Interstate and International Procedure Act, commonly called the long-arm statute. Section 1701.03(a)(3) covered tortious injury caused by an act or omission inside Oklahoma; the court required a further statutory basis because the alleged design and distribution conduct occurred elsewhere. Section 1701.03(a)(4) covered in-state tortious injury caused outside the state when the defendant regularly conducted business, pursued a persistent course of conduct, or derived substantial revenue from goods used or consumed in Oklahoma. The court inferred substantial Oklahoma-derived revenue from the retail value and mobility of automobiles and therefore found statutory authority. Oklahoma precedent construed the provision to extend through the federal constitutional limit, so the state court's statutory and due-process analyses converged. Five justices joined the opinion, two concurred in the result, and one concurred in part and dissented in part.

U.S. Supreme Court review and disposition: The Supreme Court granted certiorari, 440 U.S. 907 (1979), from the completed Oklahoma writ proceeding to resolve a conflict among state high courts concerning jurisdiction over remote vehicle sellers. The underlying tort action remained pending. By a 6-3 vote, the Court reversed the Oklahoma Supreme Court. The judgment established that Oklahoma lacked personal jurisdiction over World-Wide and Seaway on this record. The disposition applied to those two petitioners; Audi and Volkswagen of America remained defendants in Creek County.

Scope of the Supreme Court's decision: Adequacy of notice was uncontested. The Court decided adjudicatory power under the Fourteenth Amendment. It reviewed the jurisdictional record and the constitutional question generated by the interlocutory trial ruling and the state supreme court's writ judgment. It left product defect, causation, damages, venue, choice of law, and the liabilities of the manufacturer and importer for later proceedings.

Material Facts

Harry and Kay Robinson bought a new Audi from Seaway in Massena, New York, in 1976 while the family lived in New York. In 1977, they left New York to establish a new home in Arizona. While Kay drove through Oklahoma, another driver struck the Audi from behind. The impact ruptured the gasoline tank, ignited a fire in the passenger compartment, and severely burned Kay and two children. The other driver played no part in the Supreme Court litigation.

World-Wide was incorporated and maintained its business office in New York. Under its contract with Volkswagen, it distributed vehicles, parts, and accessories to dealers in New York, New Jersey, and Connecticut. Seaway was incorporated and operated in New York. The record treated World-Wide, Seaway, Volkswagen of America, and Audi as independent entities connected through contracts.

The companies' commercial activity reached their northeastern territory. Their sales, shipments, agents, advertising, and services were directed there. They closed no Oklahoma sale and performed no Oklahoma service. The record identified the Robinson Audi as the single World-Wide or Seaway vehicle shown to have entered Oklahoma. Volkswagen and Audi maintained a nationwide service-center system, while World-Wide and Seaway held no financial interest in those Oklahoma facilities, received no service revenue from them, and exercised no control over them.

Question Presented

Does the Fourteenth Amendment permit Oklahoma to exercise specific personal jurisdiction over a New York automobile retailer and a regional distributor when their own commercial conduct served New York, New Jersey, and Connecticut, and their connection to Oklahoma arose when their customers drove the purchased car through Oklahoma and suffered an accident there?

Holding

No. Specific jurisdiction requires a defendant-created affiliation with the forum that gives reasonable advance notice of exposure to suit there. World-Wide and Seaway directed their sales and distribution activity toward a defined northeastern market. The Robinsons created the Oklahoma connection by driving the Audi there. Purposeful forum conduct supplies the required affiliation; the accident's location, Oklahoma's regulatory interest, and litigation convenience then inform reasonableness. The Court reversed the judgment denying prohibition.

Reasoning

Constitutional source and historical position: The Fourteenth Amendment Due Process Clause limits a state court's power to enter a binding personal judgment against a nonresident. *Pennoyer v. Neff* expressed that power through territorial presence and warned that a judgment entered without jurisdiction is void and receives no full-faith-and-credit effect. *International Shoe Co. v. Washington* translated the corporate-jurisdiction inquiry into minimum contacts whose quality and relation to the litigation make suit consistent with traditional notions of fair play and substantial justice. *World-Wide Volkswagen* identifies the defendant's forum-directed conduct as the constitutional anchor within that flexible standard.

Two functions of minimum contacts: Minimum contacts protect a defendant against the burdens of litigating in an affiliated but distant forum and allocate adjudicatory authority among coequal states. The first function concerns individual fairness. The second preserves interstate federalism by tying a state's coercive judicial power to a defendant-created relationship with that state. A convenient forum with a substantial regulatory interest therefore still needs a constitutionally adequate defendant-forum connection.

The five reasonableness interests: Once the defendant has established a forum affiliation, a court evaluates the burden on the defendant, the forum state's interest in adjudication, the plaintiff's interest in convenient and effective relief, the interstate judicial system's interest in efficient resolution, and the several states' shared interest in advancing substantive social policies. Oklahoma possessed strong accident, evidence, witness, highway-safety, and plaintiff-convenience interests. Those interests measure the fairness of exercising authority already grounded in a defendant-created contact.

Purposeful availment and operative foreseeability: *Hanson v. Denckla* requires an act through which the defendant purposefully affiliates itself with the forum and invokes the benefits and protections of its law. The useful foreseeability is the defendant's ability to anticipate suit from its own conduct and connection with the state. That notice permits a business to insure, distribute expected costs, alter distribution, or sever a forum relationship. Product mobility predicts physical travel; forum-directed commercial conduct predicts amenability to suit.

Application to the retailer and distributor: World-Wide selected a three-state distribution territory, and Seaway operated a New York dealership. Their business conduct created affiliations within that territory. Their customers, agents, and controlled distribution remained concentrated there. The Robinsons' relocation supplied the Oklahoma link by transporting the product after a completed retail sale.

Stream of commerce: The Court explained that a manufacturer or distributor may create forum contacts by delivering products into a distribution stream with the expectation that consumers in the forum will purchase them. Regular efforts to serve a state's market provide clear notice when the product later causes injury there. World-Wide and Seaway occupied different positions on this record: their market-facing conduct ended within the northeastern territory, and the vehicle reached Oklahoma through its owners' post-sale travel. This distinction later generated the stream-of-commerce dispute in *Asahi*.

Substantial-revenue theory: Oklahoma inferred that expensive automobiles sold by the petitioners would from time to time be used in Oklahoma and would therefore produce substantial revenue connected with in-state use. The Supreme Court found that economic link too attenuated. The record tied the petitioners' revenue to transactions in their northeastern territory and tied the Oklahoma use to a consumer's later travel.

Automobile history and Hess: Automobiles earlier expanded jurisdiction through statutes appointing a state official to receive process for claims arising from a nonresident's act of driving inside the forum, as in *Hess v. Pawloski*. There, the defendant personally used the forum's roads and the suit arose from that use. The Robinsons used Oklahoma's roads here. The commercial defendants remained outside Oklahoma and directed their conduct toward another region. The Court therefore applied the ordinary chattel rule to the automobile.

Brennan dissent: Justice Brennan's dissent covered this case and the companion decision in *Rush v. Savchuk*. For the Volkswagen dispute, he emphasized Oklahoma's accident site, hospitalized plaintiffs, witnesses, evidence, and highway-safety interest, together with modern transportation and insurance. He viewed the minimum-contacts inquiry as a flexible implementation of fairness and argued that the forum's strong interests reduced the quantum of defendant contact required.

Marshall dissent, joined by Blackmun: Justice Marshall characterized World-Wide and Seaway as deliberate participants in a nationwide marketing and service network. The economic value of a car included long-distance travel and nationwide authorized service. In his analysis, selling a mobile product for its intended interstate use and benefiting from that network supplied purposeful commercial conduct tied to Oklahoma when the car caused injury there.

Blackmun dissent: Justice Blackmun separately treated the automobile's long-distance function as a critical feature. State highways, police, accident investigation, and victim assistance supported the vehicle market and the defense of resulting claims. He would have upheld jurisdiction over the professional distributor and dealer when the accident occurred in Oklahoma.

Doctrinal significance and exam sequence: Identify the defendant whose contacts are under review; preserve separate treatment for every member of a distribution chain. Ask what that defendant deliberately did to affiliate with the forum, whether the claim arose from or related to that conduct, and then apply the five fairness interests. *World-Wide Volkswagen* locates the constitutional dividing line between defendant-directed market activity and a consumer's post-sale movement of the product.

2. Burger King Corp. v. Rudzewicz

471 U.S. 462 (1985). U.S. Supreme Court. Brennan, J. No. 83-2097; argued January 8, 1985; decided May 20, 1985. Review of Burger King Corp. v. MacShara, 724 F.2d 1505 (11th Cir. 1984), rehearing en banc denied, 729 F.2d 1468.

Parties

Petitioner / plaintiff: Burger King Corporation, a Florida corporation headquartered in Miami. It franchised restaurants, leased standardized facilities, supervised the national system, sued in Florida federal court, and obtained the trial judgment. **Respondent / defendant-appellant below:** John Rudzewicz, a Michigan resident and senior partner in a Detroit accounting firm. He supplied capital, signed the franchise documents personally, challenged personal jurisdiction, and pursued the appeal. **Original codefendant:** Brian MacShara, a Michigan resident with restaurant and construction experience who managed daily operations and attended training in Miami. He did not appeal the judgment.

Procedural History

Federal complaint and subject-matter jurisdiction: Burger King filed in the U.S. District Court for the Southern District of Florida in May 1981. The complaint invoked diversity jurisdiction under 28 U.S.C. Section 1332(a) for the contract dispute and federal-question jurisdiction under 28 U.S.C. Section 1338(a) for trademark claims. Burger King alleged that the franchisees breached obligations requiring payment at its Miami headquarters and continued using Burger King marks and confidential operating information after termination. It sought contract damages, injunctive relief, costs, and attorney's fees.

State long-arm authority in federal court: The district court relied on Florida Statutes Section 48.193(1)(g), which extended personal jurisdiction over a person who breached a contract in Florida by failing to perform acts the contract required there, for claims arising from that breach. The federal court therefore asked whether the Florida statute reached the franchisees and whether the Fourteenth Amendment allowed Florida to bind them. Rudzewicz later conceded that his conduct fell within the statute, leaving constitutional due process as the contested limit.

Special appearance and denial: Rudzewicz and MacShara entered special appearances and argued that their Michigan residence, Michigan restaurant, and local operations placed the dispute outside Florida's personal jurisdiction. After a hearing, the district court denied their motions. It held that a nonresident Burger King franchisee was subject to jurisdiction in an action arising from franchise obligations requiring performance in Florida. The defendants then answered and asserted a counterclaim under the Michigan Franchise Investment Law. Their participation after the adverse ruling preserved the previously raised objection.

Bench trial and final judgment: Judge Kehoe conducted a three-day bench trial. The court reaffirmed jurisdiction, found breach of the franchise agreements and infringement of Burger King's trademarks and service marks, rejected the Michigan statutory counterclaim, and entered joint and several contract damages of \$228,875.40. It awarded \$2,151.06 in costs and \$30,000 in attorney's fees. It also ordered the franchisees to close Restaurant No. 775 immediately or surrender possession and the keys to Burger King. The final judgment made the preserved jurisdictional issue reviewable together with the merits.

Scope of Rudzewicz's appeal: MacShara accepted the judgment. Rudzewicz appealed to the Eleventh Circuit and challenged personal jurisdiction, the contract judgment, and the rejection of his counterclaim. He reached a compromise that waived appellate review of the trademark-infringement finding and the associated injunction. The surviving personal-jurisdiction issue concerned Florida's contract long-arm provision and Burger King's claim for performance due in Miami.

Eleventh Circuit: A divided panel reversed. 724 F.2d 1505 (11th Cir. 1984). Judge Vance's majority treated the minimum-contacts inquiry as a balance of commercial responsibility and fair preparation for suit. It emphasized that Burger King's Michigan office conducted the face-to-face negotiations, supervised the restaurant, and supplied the contractual services; Rudzewicz lived and operated exclusively in Michigan; the restaurant's sales occurred there; and the printed Florida terms arrived through standardized documents. The majority found inadequate warning and substantial litigation disadvantage, held Florida jurisdiction fundamentally unfair, and stopped before reaching the substantive appellate claims. Judge Johnson dissented. He emphasized Rudzewicz's sophistication, five months of negotiations, personal undertaking exceeding \$1 million, Florida choice-of-law clauses, payment obligations to Miami, and Florida's interest. Rehearing en banc was denied. 729 F.2d 1468.

Route into the Supreme Court: Burger King attempted a direct appeal under then-28 U.S.C. Section 1254(2), a route available when a federal court of appeals held a state statute unconstitutional as applied. The Supreme Court found the Eleventh Circuit's basis unclear because Florida courts had construed Section 48.193(1)(g) to extend through the due-process boundary. A statute defined by that boundary may yield an unconstitutional exercise without itself being invalidated. The Court dismissed the statutory appeal, treated Burger King's jurisdictional statement as a petition for certiorari under 28 U.S.C. Section 2103, granted certiorari, and reached the federal question.

Supreme Court disposition and standard of review: By a 6-2 vote, the Court reversed the Eleventh Circuit and remanded for further proceedings. Justice Powell took no part. The constitutional sufficiency of the forum relationship presented a legal question. The district court's trial findings concerning sophistication, misrepresentation, fraud, adhesion, and economic duress remained governed by Federal Rule of Civil Procedure 52(a), which permitted reversal only for clear error. The record supported those findings, and the Court used them in the fairness analysis.

Material Facts

Burger King operated a nationwide franchise system from Miami. Franchisees received a twenty-year license to use its trademarks and operating system in standardized restaurants. Miami headquarters set policy and controlled major decisions; district offices monitored daily operations and reported to Miami. The agreements required franchise fees, rent, royalties, tax refunds, and other payments to Miami, directed relevant notices there, stated that final acceptance occurred there, and selected Florida law. The choice-of-law clause expressly stated that it did not require every suit to be filed in Florida.

In autumn 1978, Rudzewicz and MacShara jointly applied through Burger King's Birmingham, Michigan district office. Rudzewicz supplied capital and MacShara planned to manage the restaurant. The Michigan office evaluated the application, recommended an existing restaurant in Drayton Plains, Michigan, negotiated local matters, and attended the closing. Miami headquarters approved the application, mailed documents for execution and completion, supplied the final agreements, and retained authority over site-development fees, building design, rent calculation, personal liability, and other disputed terms.

MacShara attended Burger King University in Miami. The franchisees bought and installed approximately \$165,000 of equipment before the final rent was calculated. Rudzewicz sought a lower rent after learning the final amount, and Miami granted a limited concession. The parties also disputed whether liabilities could be assigned to their corporation; Burger King required continued personal responsibility. Rudzewicz and MacShara signed the lease and franchise agreements in Michigan on June 4, 1979. Rudzewicz personally undertook payments exceeding \$1 million over the twenty-year term.

The store initially performed steadily, then patronage fell during the 1979 recession. The franchisees quickly became delinquent. Miami sent default notices. The franchisees, the Michigan office, and Miami headquarters conducted extended negotiations by telephone and mail. The Michigan office acted as a channel while Miami made the decisive concessions and enforcement decisions. Miami eventually terminated the franchise and ordered the franchisees to vacate. They remained in the premises and continued operating under Burger King's marks.

Question Presented

When a Michigan businessman deliberately establishes a negotiated, twenty-year, interdependent franchise relationship with a corporation headquartered in Florida; accepts continuing payment, notice, regulatory, and choice-of-law obligations tied to Florida; communicates with Miami to resolve major disputes; and allegedly breaches the Florida-linked obligations, does specific personal jurisdiction in Florida satisfy the Fourteenth Amendment even though he operates the restaurant and resides outside Florida?

Holding

Yes. Rudzewicz purposefully created a substantial and continuing relationship with Burger King's Miami headquarters, and the litigation arose directly from that relationship. Physical entry into Florida supplied one possible form of contact and was unnecessary because the defendant deliberately directed interstate contractual activity toward a Florida resident. The course of dealing and documents gave fair warning of Florida-linked obligations. After those contacts were established, Rudzewicz failed to present the compelling showing of unreasonableness required to defeat jurisdiction. The Court reversed and remanded.

Reasoning

The two-stage due-process structure: A court first identifies defendant-created minimum contacts connecting the defendant, the forum, and the litigation. For specific jurisdiction, the defendant purposefully directs activity toward the forum and the claim arises out of or relates to that activity. The court then evaluates whether exercising the resulting authority accords with fair play and substantial justice. This sequence gives the defendant fair warning and then measures the practical fairness of the particular forum.

Purposeful availment: The requirement selects deliberate conduct carrying a substantial connection with the forum. It excludes contacts generated by a plaintiff, customer, or third person and contacts that arise by chance. A defendant who creates continuing obligations with a forum resident obtains commercial benefits supported by the forum's law and can anticipate accountability there for disputes produced by those obligations. *World-Wide Volkswagen* supplies the contrast: the Robinsons moved the product to Oklahoma after a completed New York sale, while Rudzewicz himself established and maintained the Florida-centered relationship.

Physical presence: Interstate commerce occurs through mail, telephone, payments, licenses, and continuing administration. A defendant's deliberate direction of those activities toward a forum resident supplies a meaningful affiliation even when the defendant remains physically elsewhere. Rudzewicz's own travel history therefore carried limited weight. MacShara's Miami training reinforced the interstate relationship, while the contract, negotiations, future obligations, and course of dealing carried the analysis.

Contract analysis: The existence of a contract with a forum resident supplies the starting fact. Courts examine the prior negotiations, contemplated future consequences, contractual terms, and actual course of dealing. This highly realistic inquiry treats the written agreement as an intermediate step connecting negotiations with the future relationship the parties sought to create. It prevents party residence or the formal place of signature from controlling a multistate transaction.

Application of the contract factors: Rudzewicz pursued affiliation with a national enterprise headquartered in Florida, negotiated issues that the Michigan office lacked authority to resolve, accepted twenty years of detailed regulation and payment obligations administered from Miami, and communicated continuously with Miami during default. The claims arose from missed Miami payments and post-termination use of Florida-controlled marks and information. The quality, duration, and claim relationship of these contacts gave Rudzewicz advance notice that Florida could adjudicate the resulting dispute.

Choice of law and forum selection: The clause selected Florida's substantive law and left the litigation forum open. It reinforced purposeful affiliation because the parties chose Florida's legal protections for a long-term Florida-centered relationship. The Court treated the clause as one component of the full course of dealing.

Reasonableness factors and allocation of proof: After purposeful contacts exist, the defendant may defeat jurisdiction by presenting a compelling case that the forum would be unreasonable. Courts assess the burden on the defendant, the forum's adjudicatory interest, the plaintiff's interest in effective relief, interstate efficiency, and shared substantive policies. Strong forum and plaintiff interests may support jurisdiction on a smaller set of purposeful contacts. An extreme litigation burden can defeat jurisdiction despite purposeful activity. Ordinary inconvenience is commonly handled through venue transfer, choice-of-law rules, and other procedural devices.

Application of fairness: Florida had a legitimate interest in adjudicating a dispute arising from obligations owed to a Florida corporation and governed by Florida law. Michigan's franchise-regulation interest could be addressed through choice-of-law analysis. The record did not substantiate the Eleventh Circuit's concern that Florida litigation impaired access to essential Michigan witnesses. Rudzewicz was an experienced accountant represented by counsel, negotiated concessions, and accepted personal obligations exceeding \$1 million. The district court found informed action, commercial sophistication, and an absence of misrepresentation or imposed economic duress. Those Rule 52(a) findings supported a fair opportunity to anticipate and defend the suit.

Case-specific reach: The Court adopted a transaction-specific inquiry. A franchise's decision structure, bargaining history, contractual allocation, duration, sophistication, and course of performance determine the forum relationship. Burger King's proposed franchise-wide presumption therefore gave way to this individualized framework, which also governs modest consumer transactions.

Stevens dissent, joined by White: Justice Stevens focused on the economic and operational center of the franchise. Rudzewicz's restaurant, employees, sales, property, taxes, and day-to-day supervision were located in Michigan; Burger King's Michigan office conducted the direct negotiations and supplied contractual services. Stevens viewed the printed Florida provisions as insufficient fair warning when Burger King had structured the human relationship around its Michigan office. He would have affirmed the Eleventh Circuit's fairness judgment.

Procedural and doctrinal significance: *Burger King* makes the specific-jurisdiction inquiry sequential and assigns an evidentiary consequence to purposeful contacts: the defendant then carries the burden of showing a compelling constitutional unfairness. The case also demonstrates three separate review questions - state long-arm authorization, constitutional adjudicatory power, and trial-fact deference under Rule 52(a). Its reasonableness framework supplies the analysis that produced the controlling holding in *Asahi*.

3. Asahi Metal Industry Co. v. Superior Court

480 U.S. 102 (1987). U.S. Supreme Court. O'Connor, J. No. 85-693; argued November 5, 1986; decided February 24, 1987. Certiorari to Asahi Metal Industry Co. v. Superior Court, 39 Cal. 3d 35, 702 P.2d 543 (1985).

Parties

Petitioner / cross-defendant: Asahi Metal Industry Co., Ltd., a Japanese corporation that manufactured tire-valve assemblies in Japan and sold them to tire-tube manufacturers abroad. It moved to quash service, sought mandate relief, and obtained reversal in the U.S. Supreme Court. **Respondent in the writ caption:** The Superior Court of California for Solano County, whose jurisdictional order Asahi sought to vacate. A trial judge appears as respondent in an extraordinary-writ case because the writ would command the court to change its ruling. **Real party in interest:** Cheng Shin Rubber Industrial Co., Ltd., a Taiwanese corporation that manufactured the motorcycle tube and pursued indemnification against Asahi. **Original claimant:** Gary Zurcher, a California resident injured in the motorcycle accident; his passenger and wife, Ruth Ann Moreno, died. Their resolved product-liability claims were outside the dispute that reached the Supreme Court.

Procedural History

Accident and original complaint: The September 23, 1978 accident occurred on Interstate 80 in Solano County. In September 1979, Zurcher filed a products-liability action in the Solano County Superior Court. He alleged defects in the motorcycle tire, tube, and sealant and named Cheng Shin, the tube's Taiwanese manufacturer, together with a California retailer and other defendants.

Cross-complaint: Cheng Shin filed a cross-complaint seeking indemnification from its codefendants and from Asahi, which manufactured the tube's valve assembly. Indemnification reallocates an underlying liability from the party that paid the injured claimant to another party asserted to bear responsibility. Cheng Shin's claim therefore concerned the commercial relationship between the Taiwanese tube maker and the Japanese component maker. Zurcher's claims against Cheng Shin and the other defendants eventually settled and were dismissed. At the stage reviewed by the U.S. Supreme Court, Cheng Shin's indemnity claim against Asahi was the sole remaining controversy.

Long-arm statute and motion to quash: California Code of Civil Procedure Section 410.10 authorizes personal jurisdiction on every basis consistent with the California and United States Constitutions. The statutory inquiry therefore reached the constitutional boundary. Asahi moved to quash Cheng Shin's service of summons, asserting that the Fourteenth Amendment denied California adjudicatory authority over it. The motion attacked the court's power over Asahi and left the indemnity merits for later adjudication. Under California law, Cheng Shin carried the burden of establishing personal jurisdiction through competent evidence.

Jurisdictional evidentiary record: The parties submitted declarations concerning Asahi's sales to Cheng Shin, Cheng Shin's sales in California, a Solano County store survey, discussions between the companies, and Asahi's understanding of the distribution path. Asahi's president stated that the company never contemplated California litigation from the Taiwanese sales. Cheng Shin's manager stated that worldwide and United States distribution, including California, had been discussed with Asahi. The affidavit-based preliminary record contained the parties' full jurisdictional showing and included no written Asahi-Cheng Shin contract.

Superior Court: On April 20, 1983, the trial court denied the motion to quash. It relied on the number of Asahi valves incorporated into tubes sold in California, the volume of Asahi's sales to Cheng Shin, Cheng Shin's substantial California distribution, and Asahi's awareness of that distribution. The court reasoned that a business operating internationally could reasonably defend international product claims.

California Court of Appeal: Asahi sought immediate extraordinary relief because the denial of a motion to quash left the action pending. The Court of Appeal issued a peremptory writ of mandate directing the Superior Court to quash service. It treated worldwide product foreseeability as an inadequate basis for forcing Asahi to defend in California. The writ would have terminated California's authority over Asahi before adjudication of indemnity.

California Supreme Court: The state high court reversed the Court of Appeal's writ disposition and restored the Superior Court's jurisdictional ruling. 39 Cal. 3d 35, 702 P.2d 543 (1985). Chief Justice Bird's five-Justice opinion concluded that Asahi intentionally placed components into a regular distribution stream, knew finished tubes would be sold in California, and indirectly benefited from those sales. It also credited California's consumer-safety and efficient-litigation interests. The court denied mandate relief and discharged the alternative writ. Justice Lucas, joined by Justice Mosk, dissented. He emphasized Cheng Shin's evidentiary burden, the small share of Asahi revenue traceable to Cheng Shin, the foreign indemnity claim that remained after settlement, and the overseas commercial relationship.

U.S. Supreme Court review: The Supreme Court granted certiorari, 475 U.S. 1044 (1986), from the completed state extraordinary-writ proceeding while the indemnity action remained pending below. It reviewed the jurisdictional record and the Fourteenth Amendment question. The Court unanimously agreed on the judgment reversing California, while its reasoning divided into three writings. The formal disposition reversed the California Supreme Court and remanded for proceedings consistent with the opinions, requiring California to release Asahi from the indemnity action.

Vote structure and precedential force: Justice O'Connor's Part I recited the case and commanded unanimous agreement. Eight Justices joined Part II-B's holding that California jurisdiction was unreasonable and unfair; Justice Scalia withheld his vote from that part. Four Justices - O'Connor, Chief Justice Rehnquist, Powell, and Scalia - joined Parts II-A and III, which required stream-of-commerce-plus conduct and found deficient minimum contacts. Four Justices - Brennan, White, Marshall, and Blackmun - found minimum contacts under an awareness-based stream theory and concurred because Part II-B made jurisdiction unreasonable. Three Justices - Stevens, White, and Blackmun - also reasoned that fairness resolved the case and treated volume, value, and hazardous character as relevant to any contacts analysis. The eight-Justice fairness conclusion constitutes the Court's controlling holding. The competing stream formulations each lacked a majority.

Scope of decision: The Court adjudicated California state-court authority under the Fourteenth Amendment. It expressly reserved whether Congress could authorize a federal court, consistently with the Fifth Amendment, to exercise jurisdiction over an alien defendant based on that defendant's aggregate contacts with the United States. It also left the indemnity merits, governing substantive law, and allocation of product responsibility undecided.

Material Facts

Asahi manufactured valve assemblies in Japan and sold them to Cheng Shin and other tire manufacturers for incorporation into finished tubes. Its sales to Cheng Shin occurred in Taiwan, and Asahi shipped the components from Japan to Taiwan. Cheng Shin sold tubes throughout the world. It represented that approximately twenty percent of its United States sales occurred in California.

Cheng Shin bought 150,000 Asahi valve assemblies in 1978; 500,000 in 1979; 500,000 in 1980; 100,000 in 1981; and 100,000 in 1982, for a five-year total of 1,350,000. These sales represented 1.24 percent of Asahi's income in 1981 and 0.44 percent in 1982. Cheng Shin also used valves from other suppliers, and other tube makers incorporated Asahi valves into products that reached California.

In 1983, Cheng Shin's lawyer informally examined approximately 115 tubes offered in one Solano County motorcycle store. Ninety-seven appeared to have been made in Japan or Taiwan. Twenty-one of those bore Asahi's circled-A valve marking, and twelve of the twenty-one were installed in Cheng Shin tubes. The survey established the presence and recurring volume of Asahi components in a local retail channel; it did not identify a direct Asahi sale or California-directed distribution contract.

Asahi located its business operations, property, offices, agents, employees, advertising, solicitation, manufacturing, contracting, shipment, and direct sales outside California. Cheng Shin controlled the manufacture and distribution of its finished tubes. The declarations supported an inference that Asahi knew some finished tubes would reach the United States and California. Cheng Shin's distribution supplied the path into California; the record attributed product design, advertising, customer advice, and sales-agency decisions to activity outside any California program organized by Asahi.

Question Presented

Two related questions: (1) Does a foreign component manufacturer's regular placement of components into an international distribution stream, with awareness that finished products incorporating them will be marketed in California, create purposeful minimum contacts with California? (2) After the California residents settle and dismiss their product-liability claims, does fair play and substantial justice permit California to retain jurisdiction over the remaining indemnity dispute between a Taiwanese purchaser and a Japanese seller concerning sales and shipments made in Asia?

Holding

The Court unanimously reversed California's assertion of personal jurisdiction over Asahi. Eight Justices held that the international burden on Asahi, California's diminished interest after settlement, Cheng Shin's limited California interest, the overseas location of the relevant commercial transaction, and the interests of other nations made jurisdiction unreasonable and unfair. That fairness conclusion is the Court's majority rule. Justice O'Connor's four-Justice plurality required conduct purposefully directing the distribution toward the forum in addition to awareness. Justice Brennan's four-Justice concurrence treated awareness of a regular and anticipated flow into the forum as sufficient. Justice Stevens resolved the case on fairness and identified volume, value, and hazardous character as relevant if minimum contacts were reached.

Reasoning

Relationship to World-Wide Volkswagen and Burger King: *World-Wide Volkswagen* required a defendant-created affiliation and described products delivered into a distribution stream with an expectation of forum purchases. Lower courts divided over whether that passage required awareness of regular forum sales or additional conduct directed at the forum. *Burger King* supplied the two-stage structure: purposeful minimum contacts create presumptive authority, and the five fairness interests may still make the exercise unreasonable. *Asahi* exposed disagreement at the first stage and produced broad agreement at the second.

O'Connor plurality - stream of commerce plus: The plurality required both awareness of distribution and an act purposefully directed toward the forum. Forum-specific intent can be shown through conduct such as designing for the forum market, advertising there, establishing regular customer-advice channels there, or using a distributor that agreed to serve as a sales agent there. This approach treats placement into the distribution stream as commercial participation and additional forum targeting as purposeful direction.

Plurality application: Asahi made and sold the valve assemblies in Asia. Cheng Shin determined where the finished tubes would be sold. Asahi maintained an ongoing, high-volume component relationship and could be charged with awareness of California sales. Its design, advertising, service, solicitation, agents, controlled distribution, property, personnel, and direct transactions remained outside a California-directed program. The O'Connor plurality therefore found the purposeful-direction element unsatisfied.

Brennan concurrence - regular and anticipated flow: Justice Brennan, joined by White, Marshall, and Blackmun, treated the stream as the regular and anticipated movement from manufacture through distribution to retail sale. A participant that knows the final product is being marketed in the forum benefits economically from those sales and from the forum's commercial legal system. Awareness of that regular flow gives advance notice of litigation and fulfills purposeful availment.

Brennan application: Asahi sold Cheng Shin hundreds of thousands of valves annually over a continuing relationship; the store survey found Asahi valves in a substantial share of the Japanese and Taiwanese tubes offered locally; and the parties had discussed United States and California distribution. Brennan therefore found minimum contacts. He joined the judgment because the fairness balance defeated California jurisdiction despite those contacts.

Stevens concurrence: Justice Stevens, joined by White and Blackmun, concluded that the fairness holding supplied a complete ground for reversal and allowed the Court to leave the stream test open. He also questioned the plurality's characterization of Asahi's activity as bare placement. A purposeful-availment analysis could account for the volume, value, and hazardous character of the components. Asahi's five-year sales volume and the safety role of tire valves could support a greater quantum of forum-relevant conduct than the plurality acknowledged.

Controlling fairness holding - burden on Asahi: Defending in California required a Japanese company to cross a substantial geographic distance and submit an Asian commercial dispute to a foreign nation's judicial system. International litigation adds language, legal-system, evidence, diplomatic, and coordination burdens. The Court gave those transnational burdens significant weight.

Forum and claimant interests: Settlement transformed the litigation. California residents no longer sought compensation, and the product-liability claims enforcing California safety standards had ended. Cheng Shin, a Taiwanese corporation, sought indemnity from a Japanese corporation. The component sale occurred in Taiwan and the shipment traveled from Japan to Taiwan. Cheng Shin offered no showing that California provided a more convenient forum than Taiwan or Japan for this remaining dispute. California's interest therefore became slight.

Efficiency, governing law, and international policy: California's former interest in consolidating defendants and avoiding inconsistent product-liability judgments diminished with dismissal of the main case. The remaining claim could require interpretation of an Asian commercial relationship, and the record gave no clear basis for applying California indemnity law. The several-states factor from *World-Wide Volkswagen* expands in an international case to include the procedural and substantive policies of foreign nations and the federal government's foreign-relations interest. Comity called for careful restraint when local interests were small and foreign burdens were heavy.

Why the claim's procedural identity matters: Specific jurisdiction evaluates the relationship among this defendant, this forum, and this claim at the stage presented. The California accident explained the original products-liability suit. The controversy surviving at Supreme Court review concerned indemnity between foreign companies arising from their Asian transactions. That procedural change reduced the forum's regulatory and remedial stakes and drove the unanimous judgment.

Precedential rule: The eight-Justice Part II-B establishes that fair play and substantial justice can defeat jurisdiction even when a purposeful-contact theory is available. The stream-of-commerce-plus and awareness approaches each received four votes and form distinct analytical positions. The international reasonableness holding binds lower courts; the minimum-contacts standard for stream cases remains unsettled.

Exam sequence: Begin with the forum's long-arm statute and the procedural burden for proving jurisdiction. Identify the claim remaining at the time of decision. Attribute forum conduct to the particular defendant. In a distribution case, analyze O'Connor's additional-conduct approach, Brennan's regular-flow awareness approach, and Stevens's volume-value-hazardous-character considerations. Then apply every fairness factor, with special attention to foreign legal systems, the claimant's citizenship and convenience, the governing transaction, comity, and federal foreign-relations interests. State separately the proposition supported by a Court majority and the propositions supported by pluralities or concurrences.